

**SUBSTITUTE FOR
SENATE BILL NO. 979**

A bill to amend 1965 PA 314, entitled
"Public employee retirement system investment act,"
by amending section 13 (MCL 38.1133), as amended by 2018 PA 676.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 13. (1) This act supersedes any investment authority
2 previously granted to a system under any other law of this state.

3 (2) The assets of a system may be invested, reinvested, held
4 in nominee form, and managed by an investment fiduciary subject to
5 the terms, conditions, and limitations provided in this act. An
6 investment fiduciary of a defined contribution plan may arrange for
7 1 or more investment options to be directed by the participants of
8 the defined contribution plan. The limitations on the percentage of
9 total assets for investments provided in this act do not apply to a



1 defined contribution plan in which a participant directs the
2 investment of the assets in ~~his or her~~ **the participant's** individual
3 account, and that participant is not considered an investment
4 fiduciary under this act.

5 (3) An investment fiduciary shall discharge ~~his or her~~ **the**
6 **investment fiduciary's** duties solely in the interest of the
7 participants and the beneficiaries, and shall do all of the
8 following:

9 (a) Act with the same care, skill, prudence, and diligence
10 under the circumstances then prevailing that a prudent person
11 acting in a similar capacity and familiar with those matters would
12 use in the conduct of a similar enterprise with similar aims.

13 (b) Act with due regard for the management, reputation, and
14 stability of the issuer and the character of the particular
15 investments being considered.

16 (c) Make investments for the exclusive purposes of providing
17 benefits to participants and participants' beneficiaries, and of
18 defraying reasonable expenses of investing the assets of the
19 system.

20 (d) Give appropriate consideration to those facts and
21 circumstances that the investment fiduciary knows or should know
22 are relevant to the particular investment or investment course of
23 action involved, including the role the investment or investment
24 course of action plays in that portion of the system's investments
25 for which the investment fiduciary has responsibility; and act
26 accordingly. For purposes of this subsection, "appropriate
27 consideration" includes, but is not limited to, a determination by
28 the investment fiduciary that a particular investment or investment
29 course of action is reasonably designed, as part of the investments



1 of the system, to further the purposes of the system, taking into
2 consideration the risk of loss and the opportunity for gain or
3 other return associated with the investment or investment course of
4 action; and consideration of the following factors as they relate
5 to the investment or investment course of action:

6 (i) The diversification of the investments of the system.

7 (ii) The liquidity and current return of the investments of the
8 system relative to the anticipated cash flow requirements of the
9 system.

10 (iii) The projected return of the investments of the system
11 relative to the funding objectives of the system.

12 (e) Give appropriate consideration to investments that would
13 enhance the general welfare of this state and its citizens if those
14 investments offer the safety and rate of return comparable to other
15 investments permitted under this act and available to the
16 investment fiduciary at the time the investment decision is made.

17 (f) Prepare and maintain written objectives, policies, and
18 strategies with clearly defined accountability and responsibility
19 for implementing and executing the system's investments.

20 (g) Monitor the investment of the system's assets with regard
21 to the limitations on those investments under this act. Upon
22 discovery that an investment causes the system to exceed a
23 limitation prescribed in this act, the investment fiduciary shall
24 reallocate assets in a prudent manner to comply with the prescribed
25 limitation.

26 (h) Prepare and maintain written policies regarding ethics and
27 professional training and education, including travel, which
28 policies contain clearly defined accountability and reporting
29 requirements for the system's investment fiduciaries. **The written**



1 **policies in this subdivision must include not less than 8 hours of**
2 **professional training and education every 2 years, per investment**
3 **fiduciary.**

4 (i) Publish a summary annual report that includes all of the
5 following:

6 (i) The name of the system.

7 (ii) The names of the system's investment fiduciaries.

8 (iii) The names of the system's service providers.

9 (iv) The system's assets and liabilities and changes in net
10 plan assets on a plan-year basis.

11 (v) The system's funded ratio based on the ratio of valuation
12 assets to actuarial accrued liabilities on a plan-year basis.

13 (vi) Except as otherwise provided in this subparagraph, the
14 system's investment performance net of fees on a rolling calendar-
15 year basis for the previous 1-, 3-, 5-, 7-, and 10-year periods.
16 For a system for which the state treasurer is the investment
17 fiduciary, the summary annual report must include the system's
18 investment performance net of fees on a rolling calendar-year and
19 fiscal-year basis for the previous 1-, 3-, 5-, 7-, and 10-year
20 periods.

21 (vii) The system's administrative and investment expenditures
22 pursuant to standards of the Governmental Accounting Standards
23 Board, including, but not limited to, a list of all expenditures
24 made with soft dollars and all expenditures for professional
25 training and education, including travel expenditures, by or on
26 behalf of system board members that are paid by the system, if any.

27 (viii) The system's itemized budget containing all projected
28 expenditures, including, but not limited to, expenditures for
29 professional training and education, including travel expenditures,



1 by or on behalf of system board members that are paid by the
2 system.

3 (ix) The following information as provided in the system's most
4 recent annual actuarial valuation report:

5 (A) The number of active members.

6 (B) The number of retirees and beneficiaries.

7 (C) The average annual retirement allowance.

8 (D) The total annual retirement allowances being paid.

9 (E) The valuation payroll.

10 (F) The employer's computed normal cost of benefits expressed
11 as a percentage of valuation payroll.

12 (G) The employer's total contribution rate expressed as a
13 percentage of valuation payroll.

14 (H) The weighted average of member contributions, if any.

15 (I) The actuarial assumed rate of investment return.

16 (J) The actuarial assumed rate of long-term wage inflation.

17 (K) The smoothing method utilized to determine the funding
18 value of assets.

19 (L) The amortization method and period utilized for funding
20 the system's unfunded actuarial accrued liabilities, if any.

21 (M) The system's actuarial cost method.

22 (N) Whether system membership is open or closed to specific
23 groups of employees.

24 (O) The actuarial assumed rate of health care inflation.

25 (x) In addition to the expenditures reported under
26 subparagraph (vii), for a large sponsored system a travel report
27 listing all travel outside this state in the immediately preceding
28 fiscal year that was funded in whole or in part with public funds.
29 The report must include the total expenses for all out-of-state



1 travel funded during the immediately preceding fiscal year and all
2 of the following information for each travel occurrence:

3 (A) The name of each person receiving reimbursement for travel
4 outside this state or whose travel costs were paid by the large
5 sponsored system and funded in whole or in part with public funds.

6 (B) The destination.

7 (C) The dates.

8 (D) A brief statement of the reason for the travel.

9 (E) An itemization of the transportation and related costs,
10 including, but not limited to, the amount for food, lodging, and
11 vehicle rental and listing the names of hotels, restaurants,
12 vehicle rental agencies, and vehicle models.

13 (xi) For a state unit, an executive summary of both of the
14 following:

15 (A) The state unit's unfunded actuarial accrued liabilities
16 for retiree health and pension.

17 (B) The information described in subparagraph (v).

18 (j) An investment fiduciary of a large sponsored system shall
19 submit a summary annual report described in subdivision (i) to the
20 financial review commission created under the Michigan financial
21 review commission act, 2014 PA 181, MCL 141.1631 to 141.1643.

22 (k) For a state unit, submit the executive summary required
23 under subdivision (i) (xi) to the senate and house of representatives
24 appropriations committees and the senate and house fiscal agencies
25 not less than 30 days after publication.

26 (l) For a system other than a state unit, submit the summary
27 annual report published under subdivision (i) to the department of
28 treasury not less than 30 days after publication.

29 (4) An investment fiduciary who is an investment fiduciary of



1 any of the following shall comply with the divestment from terror
2 act, 2008 PA 234, MCL 129.291 to 129.301, in making investments
3 under this act:

4 (a) The Tier 1 retirement plan available under the state
5 employees' retirement act, 1943 PA 240, MCL 38.1 to 38.69.

6 (b) The Tier 1 retirement plan available under the judges
7 retirement act of 1992, 1992 PA 234, MCL 38.2101 to 38.2670.

8 (c) The Michigan state police retirement system created under
9 the state police retirement act of 1986, 1986 PA 182, MCL 38.1601
10 to ~~38.1675~~. **38.1674.**

11 (d) The Michigan public school employees' retirement system
12 created under the public school employees retirement act of 1979,
13 1980 PA 300, MCL 38.1301 to 38.1437.

14 (5) Subject to section 13g, an investment fiduciary may use a
15 portion of the system's income to defray the costs of investing,
16 managing, and protecting the assets of the system; may retain
17 investment and all other goods and services necessary for the
18 conduct of the affairs of the system, including investment
19 advisors, consultants, custodians, accountants, auditors,
20 attorneys, actuaries, investment personnel, administrators, and
21 physicians; and may enter into contracts for and pay reasonable
22 compensation for those services. Subject to an annual appropriation
23 by the legislature, a deduction from the income of a state-
24 administered system resulting from the payment of those costs must
25 be made.

26 (6) Subject to this subsection and subsection (13), an
27 investment fiduciary may use a portion of the system's income to
28 defray the costs of professional training and education, including
29 travel costs, of system board members, which professional training



1 and education, including travel, are directly related to the
2 administration, management, and operation of the system. The
3 governing board vested with the general administration, management,
4 and operation of the system or other decision-making body that is
5 responsible for implementation and supervision of the system shall
6 adopt an annual budget for professional training and education,
7 including travel, authorized under this subsection. The budget
8 adopted under this subsection must reflect the number of board
9 members, the size of the system, and the educational objectives of
10 the system. The system's total aggregate cost for professional
11 training and education, including travel costs, authorized under
12 this subsection for a fiscal year must not exceed \$150,000.00 or an
13 amount that is equal to the total number of system board members
14 multiplied by \$12,000.00, whichever is less. The system's total
15 cost for professional training and education, including travel
16 costs, authorized under this subsection for an individual system
17 board member in a fiscal year must not exceed \$30,000.00. Beginning
18 January 1, 2013, the department of treasury shall adjust the dollar
19 amounts in this subsection by an amount determined by the state
20 treasurer at the end of the immediately preceding calendar year to
21 reflect the cumulative annual percentage change in the Consumer
22 Price Index. As used in this subsection, "Consumer Price Index"
23 means the most comprehensive index of consumer prices available for
24 this state from the Bureau of Labor Statistics of the United States
25 Department of Labor.

26 (7) Before any investment services are provided, an investment
27 service provider shall provide the investment fiduciary of the
28 system with a complete written disclosure of all fees or other
29 compensation associated with its relationship with the system.



1 After investment services are provided to the investment fiduciary
2 of the system, an investment service provider shall provide on an
3 annual basis written disclosure of all fees including, but not
4 limited to, commissions, 12b-1 and related fees, compensation paid
5 or to be paid to third parties, and any other compensation paid by
6 the system to the investment fiduciary of the system. As used in
7 this subsection, "investment service provider" means any
8 individual, third-party agent or consultant, or other entity that
9 receives direct or indirect compensation for consulting, investment
10 management, brokerage, or custody services related to the system's
11 assets. For purposes of this section only, investment service
12 provider does not include a retirement system.

13 (8) The system must be a separate and distinct trust fund and
14 the assets of the system must be for the exclusive benefit of the
15 participants and their beneficiaries and of defraying reasonable
16 expenses of investing the assets of the system. With respect to a
17 system, an investment fiduciary shall not cause the system to
18 engage in a transaction if ~~he or she~~ **the investment fiduciary** knows
19 or should know that the transaction is any of the following, either
20 directly or indirectly:

21 (a) A sale or exchange or a leasing of any property from the
22 system to a party in interest for less than the fair market value,
23 or from a party in interest to the system for more than the fair
24 market value.

25 (b) A lending of money or other extension of credit from the
26 system to a party in interest without the receipt of adequate
27 security and a reasonable rate of interest, or from a party in
28 interest to the system with the provision of excessive security or
29 at an unreasonably high rate of interest.



1 (c) A transfer to, or use by or for the benefit of, the
2 political subdivision sponsoring the system of any assets of the
3 system for less than adequate consideration.

4 (d) The furnishing of goods, services, or facilities from the
5 system to a party in interest for less than adequate consideration,
6 or from a party in interest to the system for more than adequate
7 consideration.

8 (9) With respect to a system subject to this act, an
9 investment fiduciary shall not do any of the following:

10 (a) Deal with the assets of the system in ~~his or her~~ **the**
11 **investment fiduciary's** own interest or for ~~his or her~~ **the**
12 **fiduciary's** own account.

13 (b) In ~~his or her~~ **the investment fiduciary's** individual or any
14 other capacity act in any transaction involving the system on
15 behalf of a party whose interests are adverse to the interests of
16 the system or the interest of its participants or participants'
17 beneficiaries.

18 (c) Receive any consideration for ~~his or her~~ **the investment**
19 **fiduciary's** own personal account from any party dealing with the
20 system in connection with a transaction involving the assets of the
21 system.

22 (10) This section does not prohibit an investment fiduciary
23 from doing any of the following:

24 (a) Receiving any benefit to which ~~he or she~~ **the investment**
25 **fiduciary** may be entitled as a participant or participant's
26 beneficiary of the system.

27 (b) Receiving any reimbursement of expenses properly and
28 actually incurred in the performance of ~~his or her~~ **the investment**
29 **fiduciary's** duties for the system.



1 (c) Serving as an investment fiduciary in addition to being an
2 officer, employee, agent, or other representative of the political
3 subdivision sponsoring the system.

4 (d) Receiving agreed upon compensation for services from the
5 system.

6 (11) Except for an employee of a system, this state, or the
7 political subdivision sponsoring a system, when acting in the
8 capacity as an investment fiduciary, an investment fiduciary who is
9 qualified under section 12c(1)(b) shall meet 1 of the following
10 requirements:

11 (a) Be a registered investment adviser under the investment
12 advisers act of 1940, 15 USC 80b-1 to 80b-21, or the uniform
13 securities act (2002), 2008 PA 551, MCL 451.2101 to 451.2703.

14 (b) Be a bank as defined under the investment advisers act of
15 1940, 15 USC 80b-1 to 80b-21.

16 (c) Be an insurance company qualified under section 16(3).

17 (12) An investment fiduciary shall not invest in a debt
18 instrument issued by a foreign country that has been designated by
19 the United States Department of State as a state sponsor of terror.

20 (13) A large sponsored system shall not pay the expenses for a
21 person to travel outside this state from funds under its control
22 unless 1 or more of the following conditions apply to the travel:

23 (a) It is required by legal mandate or court order or for law
24 enforcement purposes.

25 (b) It is necessary to protect the health or safety of
26 citizens of, or visitors to, this state or to assist other states
27 in similar circumstances.

28 (c) It is necessary to produce budgetary savings or to
29 increase revenues, including protecting existing federal funds or



1 securing additional federal funds.

2 (d) It is necessary to secure specialized training for the
3 person that is substantially related to performing the duties of
4 the position and is not available within this state.

5 (14) Subject to section 13g, an investment fiduciary of a
6 large sponsored system that invests or has invested in a hazardous
7 waste deep disposal well facility regulated under part 111 or 121
8 of the natural resources and environmental protection act, 1994 PA
9 451, MCL 324.11101 to 324.11153 and 324.12101 to 324.12117, is
10 subject to all of the following:

11 (a) The investment fiduciary shall not make an additional
12 investment in the hazardous waste deep disposal well facility
13 unless the investment is solely to prepare the property on which
14 the hazardous waste deep disposal well facility is located for sale
15 for purposes other than operation as a hazardous waste deep
16 disposal well facility or similar hazardous facility.

17 (b) The investment fiduciary shall sell, redeem, divest, or
18 withdraw all investments in the hazardous waste deep disposal well
19 facility within 180 days after any of the following circumstances
20 occur:

21 (i) The operator of the hazardous waste deep disposal well
22 facility files for bankruptcy.

23 (ii) The sale, transfer, purchase, or acquisition of a
24 controlling interest in the operator of the hazardous waste deep
25 disposal well facility.

26 (iii) An Environmental Protection Agency action for a violation
27 at the hazardous waste deep disposal well facility.

28 (iv) An Environmental Protection Agency revocation of the
29 operator's license.



(v) An Environmental Protection Agency or department of environmental quality ~~environment, Great Lakes, and energy~~ order to terminate operations at the hazardous waste deep disposal well facility.

(15) For a state unit, a representative of the office of retirement services in the department of technology, management, and budget shall appear before the senate and house of representatives appropriations committees on request of the committee chair to testify about the system's summary annual report required under subsection (3).

(16) The department of treasury shall post on its website an executive summary of each summary annual report submitted to the department of treasury under subsection (3) (l). The executive summary must include the applicable system's unfunded actuarial accrued liability for pension. The department of treasury shall submit each executive summary required under this subsection to the senate and the house of representatives appropriations committees and the senate and house fiscal agencies not less than 30 days after posting.

(17) The plan administrator of a system shall establish a written policy to provide for corrective action if an investment fiduciary of the system fails to meet the professional training and education requirements under subsection (3) (h).

(18) ~~(17)~~As used in this section: ~~—~~"state

(a) "Professional training and education" means any educational opportunity on topics reasonably related to the trustee's duties under this act, including, but not limited to, any of the following:

(i) Fiduciary responsibility.



1 (ii) Investment of plan assets.

2 (iii) Actuarial topics related to pension systems.

3 (iv) Legal topics related to pension systems.

4 (v) Plan administration.

5 (b) "State unit" means a system established under the state
6 employees' retirement act, 1943 PA 240, MCL 38.1 to 38.69, the
7 public school employees retirement act of 1979, 1980 PA 300, MCL
8 38.1301 to 38.1437, the judges retirement act of 1992, 1992 PA 234,
9 MCL 38.2101 to 38.2670, and the state police retirement act of
10 1986, 1986 PA 182, MCL 38.1601 to ~~38.1675~~ **38.1674**.